Risk, Money Management & Trading Psychology

Part of The Complete Indian Market Trader — Zero to Professional (India, 2026)

Pro-grade, India-first: NSE/BSE, F&O, worked ₹ examples, current 2026 rules

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Risk Management: The #1 Skill

Why this matters — the pro vs retail gap this closes

You already know Greeks, 200 option structures, candlesticks and Wyckoff. None of it matters if a single trade can take out a quarter of your account. The gap between a professional and a retail trader is almost never analysis — it is *bet sizing under uncertainty*. SEBI's own study (Jan 2023, repeated in 2024–25) found roughly **9 out of 10 individual F&O traders lose money**, with average net losses of ₹1–1.5 lakh over the period studied. The losers are not stupid; they are *over-sized*. They risk 10–20% of capital per trade, hit a run of five losers (a statistical certainty), and blow up.

The pro flips the priority order: **survival first, profit second.** You cannot compound an account that hits zero. This chapter is the operating system that every later chapter (sizing, drawdown, stops) plugs into.

The essentials — precise India-specific mechanics

1. Risk per trade: the 0.5–1% rule. Never risk more than **0.5% to 1% of trading capital on one trade**. "Risk" = (entry − stop) × quantity, i.e. the rupees you lose if the stop hits — *not* the position value or the margin blocked. On ₹5,00,000 capital, 1% = ₹5,000 max loss per trade. Beginners and small accounts should sit at 0.5%.

2. Think in R-multiples. Define **1R = the rupees you risk on a trade.** Every outcome is then measured in R, independent of size: - Stop hit → −1R - Target at 2× the risk distance → +2R - Scratch at breakeven → 0R

An edge is defined by **average R per trade (expectancy)**, not by win rate. A 40%-win system that makes +2R on winners and −1R on losers is highly profitable: 0.4×2 − 0.6×1 = **+0.2R per trade**.

3. Max daily and weekly loss — the circuit breaker. - **Daily stop:** 3R (or 3% of capital) → stop trading for the day. Close the terminal. - **Weekly stop:** 6R → flat for the rest of the week. These are *hard* limits that protect you from tilt, revenge trading, and a single catastrophic session (an expiry-day Bank Nifty gap can move 800+ points).

4. Costs are part of risk (India, from 01-Apr-2026 — verify on NSE/broker/SEBI, rules change). Every trade leaks: brokerage + STT (options ~0.15% on sell premium; intraday equity 0.025% on sell; futures ~0.05% on sell) + exchange txn + SEBI fee + **18% GST on (brokerage+txn)** + stamp duty. On a Bank Nifty option round-trip you can pay ₹100–200+ in total charges. Build cost into your R: if a trade nets +2R gross but −0.15R in charges, plan on +1.85R.

Item	Rule of thumb
Risk per trade	0.5–1% of capital
1R (₹5,00,000 acct)	₹2,500–₹5,000
Daily stop	3R / 3%
Weekly stop	6R
Min reward:risk to take a trade	≥ 1.5 : 1

Worked example — an R-based plan on ₹5,00,000 capital

Capital = **₹5,00,000**. Risk per trade = **1% = ₹5,000 = 1R**. Daily stop = **3R = ₹15,000**. Weekly stop = **6R = ₹30,000**.

Trade: Bank Nifty futures long (illustrative). Lot size = **35** (verify current lot on NSE — it changes). Say Bank Nifty future at **48,000**, structure-based stop at **47,850** (150 points away).

- Risk per lot = 150 pts × 35 = **₹5,250**. That is just over 1R — so **1 lot is the max**; a second lot would risk ₹10,500 = 2R and break the rule.
- Target at 2R = 300 points → **48,300**, reward = ₹10,500 gross.
- If the stop hits: −₹5,250 (≈ −1R). If target hits: +₹10,500 (≈ +2R) minus ~₹200 charges.

A losing week, sized correctly: Mon −1R, Tue −1R, Wed +2R, Thu −1R → net −1R = −₹5,000, i.e. **−1% of capital across four trades.** Compare the over-sized retail version at 5% risk/trade: same trade sequence = −5% −5% +10% −5% = **−5% = −₹25,000** in a single week, and one bad gap could double that. Same edge, same trades — position sizing alone is the difference between a −1% scratch and a −5% wound.

The daily stop in action: on a bad Thursday you take −1R, −1R, −1R by 12:30. You have hit 3R. You are **done** — no "just one more to get it back." That rule alone saves most accounts.

How pros do it / common mistakes

Pros: - Decide the stop and the rupee risk *before* entry; size is an output, never guessed. - Keep every position at a uniform 0.5–1R so no single trade dominates the equity curve. - Track results in R, so a ₹5,000 loss and a ₹500 loss on different accounts are comparable. - Treat the daily stop as sacred — they physically log off.

Classic retail errors & red flags: - **Sizing by margin/"how many lots can I afford,"** not by stop distance. Full-margin one lot of Bank Nifty options can still be a 10R bet if the stop is wide. - **No stop, or a mental stop they widen** when price approaches it — turning −1R into −4R. - **Averaging down** a loser (adding risk to a losing thesis) — the #1 account-killer. - **Revenge trading** after a loss, doubling size to "make it back." - **Ignoring costs**, then wondering why a 55%-win scalping system bleeds. - Confusing a lucky +8R month for skill and then jacking size right before the drawdown.

Checklist / drill

Pre-trade checklist (every single trade): - ☐ What is my stop level, from *structure* (not a round number)? - ☐ Rupee risk = (entry − stop) × qty. Is it ≤ 1R (₹5,000 on a ₹5L acct)? - ☐ Is reward:risk ≥ 1.5:1 after estimated charges? - ☐ Have I hit my 3R daily / 6R weekly stop? If yes → no trade. - ☐ Is size an *output* of the stop, not a gut number of lots?

Drill (2 weeks, paper or live-small): Log every trade only in R. At week's end compute average R/trade and your worst losing streak. If any single trade shows a loss worse than −1.5R, your stop discipline failed — find out where. Do not touch size until 20 trades stay inside ±1R as designed. *Survival is the skill you build first; profit is what survival lets you keep.*

Position Sizing Methods

Why this matters — the pro vs retail gap this closes

Retail traders decide size by asking "how many lots can my margin buy?" Pros ask "how many units keep my loss at 1R if the stop hits?" That single inversion is the difference between a controlled book and a random one. Two traders with the *same* winning strategy will have wildly different equity curves purely from sizing — one compounds smoothly, the other rides a rollercoaster to zero. Sizing is the throttle; the strategy is only the engine. This chapter gives you the methods and the exact arithmetic to convert a stop into a quantity across cash and F&O.

The essentials — the methods, India-specific

1. Fixed-fractional (fixed % of equity). Risk a constant fraction — say 1% — of *current* equity each trade. As the account grows, rupee risk grows; as it shrinks, risk shrinks automatically. This is the professional default because it compounds gains and decelerates losses.

2. Fixed-rupee-risk-to-stop (THE core method). This is the workhorse.

> **Quantity = Rupee Risk Budget ÷ (Entry − Stop) per unit**

- Cash equity: Qty (shares) = Risk ₹ ÷ (Entry − Stop).
- Futures/options: the "per unit" risk is *per point* × *lot size*. Number of lots = Risk ₹ ÷ (Stop distance in points × lot size × points-value).

Everything else is a refinement of this.

3. Volatility / ATR-based sizing. Set the stop at a multiple of **ATR** (Average True Range, e.g. 14-period) so the stop breathes with the instrument. Stop distance = k × ATR (k ≈ 1.5–2.5). Then size with the core formula. Benefit: a quiet stock gets a tight stop and a bigger position; a wild one (say Adani-name volatility) gets a wide stop and a small position — **risk stays constant at 1R across both.**

4. Kelly & fractional Kelly. Kelly gives the growth-optimal fraction: **f* = W − (1−W)/RR**, where W = win rate, RR = avg win/avg loss. Full Kelly is far too aggressive (huge drawdowns), so pros use **fractional Kelly — a quarter to a half of f***. If Kelly says 20%, you risk 5%. In practice, for retail F&O, Kelly usually confirms that 0.5–1% is sane and that anything above ~5% is gambling.

5. Pyramiding (scaling in). Add to *winners*, never losers. Take the first tranche at entry; add a second only after price moves in your favour and you can trail the stop so total open risk stays ≤ 1R. Done right, average size rises only when the trade is already right.

F&O margin note (verify on broker/NSE — rules change, as of 2026): upfront **SPAN + Exposure** margin is blocked per lot, peak-margin fully enforced. Margin determines *whether you can hold* the position; it must **never** determine your size. Your size is set by the stop. If the stop-based size needs more margin than you have, the trade is too big for the account — skip it, don't oversize to fit.

Worked example — size-from-stop across cash and F&O

Capital ₹5,00,000, risk 1% = ₹5,000 = 1R.

(a) Cash equity — Reliance. Entry ₹2,900, structure stop ₹2,850 → stop distance ₹50. - Qty = 5,000 ÷ 50 = **100 shares.** Position value = ₹2,90,000 (use MTF/delivery; verify STT: delivery 0.1% buy+sell from 01-Apr-2026). - If stop hits: 100 × ₹50 = −₹5,000 = −1R. Correct.

(b) ATR-based — a midcap at ₹800, ATR(14) = ₹25, stop = 2×ATR = ₹50 below → ₹750. - Qty = 5,000 ÷ 50 = **100 shares.** Wider ATR would mean fewer shares — risk held at 1R.

(c) Nifty futures. Lot size **75** (verify — lot sizes change), point value = ₹75/point. Entry 24,000, stop 23,920 → 80 points. - Risk per lot = 80 × 75 = **₹6,000.** That is 1.2R > 1R → **1 lot is already slightly over budget.** Either tighten the stop, or accept 1 lot only if you flex to a 1.2% day-limit — never take 2 lots (₹12,000 = 2.4R).

(d) Bank Nifty options — buying an ATM call at ₹250, lot 35. You define a stop on the *option* at ₹100 premium loss (₹250→₹150). - Risk per lot = 100 × 35 = **₹3,500 = 0.7R.** You could take **1 lot** comfortably; a 2nd lot = ₹7,000 = 1.4R > 1R, so no. Premium × lot also sets margin (buyers pay full premium: ₹250×35 = ₹8,750 per lot).

Notice: in every case **quantity fell straight out of the stop distance.** You never asked "how many lots can I afford."

How pros do it / common mistakes

Pros: - Use fixed-fractional on equity + fixed-risk-to-stop on every trade; ATR-set the stop when volatility varies. - Cap at fractional Kelly, treating 1% as the norm and 2% as a hard ceiling. - Pyramid only into open profit with total risk trailed back to ≤1R. - Recompute the 1R rupee figure monthly as equity changes.

Retail errors & red flags: - **Margin-based sizing** ("₹1L free margin, so 3 lots") — the single most common blow-up cause. - **Constant lot count** (always "2 lots") regardless of stop distance — risk swings wildly trade to trade. - **Full Kelly / all-in** on a "sure" setup — a 30% drawdown from one bad expiry. - **Averaging down** and calling it "pyramiding" — it is the opposite; you're adding to a loser. - Selling naked options sized by margin — one gap converts a "high-probability" ₹5,000 credit into a ₹50,000 loss.

Checklist / drill

Sizing checklist: - ☐ Stop level chosen from structure/ATR *before* size. - ☐ Qty = Risk₹ ÷ (per-unit stop distance). Written down. - ☐ For F&O: lots = Risk₹ ÷ (points × lot size × point-value). Rounded *down*. - ☐ Resulting margin ≤ available? If not, trade is too big — skip, don't shrink the stop. - ☐ Any add-on keeps total open risk ≤ 1R.

Drill: Take 10 real setups this week. For each, write entry, ATR-based stop, and compute quantity by the core formula. Then check what you *would have* traded by gut. Log the gap. Most traders discover their gut size is 2–4× the correct size — that ratio *is* your blow-up risk.

Capital, Drawdown & Risk of Ruin

Why this matters — the pro vs retail gap this closes

Retail traders think in returns ("I want to double my money"). Pros think in *drawdowns and survival probabilities* — because the maths of losing is brutally asymmetric and the maths of ruin is unforgiving. A trader who understands that a −50% loss demands a +100% gain to recover, and that risking 5% per trade on a 50%-win system has a meaningful chance of eventually wiping out, will never take the bets that kill most accounts. This chapter is the "staying alive" arithmetic that turns the previous two chapters into a lifetime, not a season.

The essentials — the maths of staying alive

1. Drawdown recovery is non-linear. To recover a loss of *L*, you need a gain of **L / (1−L)**. The deeper the hole, the disproportionately harder the climb:

Drawdown	Gain needed to recover
−10%	+11.1%
−20%	+25%
−33%	+50%
−50%	**+100%**
−75%	+300%
−90%	+900%

This is why capping drawdown matters more than chasing returns. Below roughly −50%, most accounts never come back — not because it's mathematically impossible, but because the psychology and the shrunk capital make +100% unattainable.

2. Expectancy — is there even an edge? Expectancy (per trade) = (Win% × Avg Win) − (Loss% × Avg Loss), best expressed in R. Positive expectancy is the *precondition* for survival; without it, better sizing only slows the bleed. Example: 45% win, avg win +2R, avg loss −1R → (0.45×2) − (0.55×1) = **+0.35R per trade.** Over 200 trades that's +70R.

3. Risk of ruin (RoR). RoR is the probability of losing your whole (or a defined chunk of) capital given your win rate and risk-per-trade. Two levers dominate it: **edge (win rate / payoff)** and **risk per trade.** Cutting risk per trade slashes RoR dramatically; raising it explodes RoR — even with a positive edge. A positive-expectancy system can *still* ruin you if each bet is too large, because a losing streak of N in a row has probability (Loss%)^N and *will* eventually occur.

4. Compounding vs ruin — same force, opposite signs. Small, consistent positive-R trades compound beautifully *if* drawdown never craters the base. One oversized bet that causes a −60% drawdown resets the compounding clock by years. The goal is a smooth curve, not a spiky one.

Worked example — a risk-of-ruin table

Assume winners and losers are both 1R (payoff 1:1) for clarity, and "ruin" = losing 100% of capital. Approximate RoR falls as you cut risk-per-trade and as win rate rises above 50%:

Risk of ruin (approx.), 1:1 payoff:

Win rate	Risk 1%/trade	Risk 2%/trade	Risk 5%/trade	Risk 10%/trade
50%	~100% (no edge)	~100%	~100%	~100%
52%	~2%	~15%	~44%	~66%
55%	~0%	~0.02%	~8%	~28%
60%	~0%	~0%	~0.3%	~5%

Read the table honestly. **At a coin-flip 50% with 1:1 payoff, ruin is certain eventually — the costs (STT, brokerage, GST) guarantee it.** A tiny edge (55%) is safe at 1% risk but genuinely dangerous at 5%. The lesson: *even a real edge does not save you from oversizing.*

Worked drawdown case, ₹5,00,000 capital, 1% risk: Suppose a rough patch: 8 losers in a stretch of 12 trades (edge still positive over the long run, but streaks happen). At 1% risk that's roughly −8% +4×(win) — say net −4% to −6%, i.e. capital dips to ~₹4,70,000. Painful but survivable; recovery needs only ~+6%. Now run the *same streak* at 8% risk per trade: −8% eight times compounds toward **−50%+**, capital ~₹2,50,000, needing +100% to recover. Identical trades, identical edge — sizing decides whether it's a dip or a disaster.

Payoff helps too: raise avg win to +2R (RR 2:1) and even a 40% win rate carries positive expectancy and low RoR at 1% risk — which is why pros obsess over reward:risk and keep bets small simultaneously.

How pros do it / common mistakes

Pros: - Set a **max system drawdown** they will tolerate (often −15% to −20%) and *cut size* or stop when approaching it. - Keep risk-per-trade low precisely *because* they respect RoR maths — they know streaks are guaranteed. - Verify positive expectancy on 100+ trades before scaling, and re-check it quarterly. - De-risk after a drawdown (trade smaller until the curve recovers), the opposite of the retail instinct.

Retail errors & red flags: - **"I only need 60% wins to get rich"** — ignoring that 5–10% risk-per-trade ruins even a 60% system in a bad streak. - **Increasing size during a drawdown** to recover fast — mathematically the fastest path to zero. - **No expectancy tracking** — trading a negative-edge system and blaming "bad luck." - Underestimating losing streaks: at 55% win, a run of 6 losers has ~0.9% chance per window and *will* show up over a year. - Treating a −40% account as "almost back" — it needs +67% just to break even.

Checklist / drill

Survival checklist: - ☐ Is my expectancy positive over ≥100 real trades (in R)? - ☐ Is risk-per-trade ≤1% (so RoR is negligible for my win rate)? - ☐ What is my max-drawdown line, and what do I do when I hit it (cut size / stop)? - ☐ After a losing streak, am I trading *smaller*, not bigger?

Drill: Build the table yourself. In a spreadsheet, simulate 500 trades at your real win rate and payoff, at 1%, 3%, and 6% risk. Run it 100 times. Count how often each setting draws down beyond −25% or hits ruin.

Seeing your own numbers ruin at 6% — while barely dipping at 1% — is the most convincing risk lesson you'll ever get. *The maths of staying alive always beats the maths of getting rich fast.*

Stops & Exits Done Right

Why this matters — the pro vs retail gap this closes

Retail traders obsess over entries — the perfect candlestick, the exact indicator cross. Pros know the uncomfortable truth: **exits determine your P&L far more than entries.** Two traders can take the identical entry; one exits at +0.3R in fear, the other lets it run to +3R and cuts losers at −1R — over a year, one is broke and one is up. Your entry sets the *risk*; your exits set the *reward and the actual loss*. This chapter is about the machinery of getting out — hard, mental, trailing, time and structure stops — and the discipline that separates a plan from a hope.

The essentials — types of stops and how to place them

1. Hard stop (SL order at the exchange). A live stop-loss order resting on NSE/BSE. It executes without you. Use it whenever you cannot watch the screen, on overnight F&O, and on anything gap-prone. Downside: it's visible to the tape and can be triggered by a wick. Use **SL-Limit** to control fill price, but know a fast move can skip past a limit; **SL-Market** guarantees exit but not price.

2. Mental stop. A level you'll act on manually. Only viable if you are disciplined *and* watching. The retail graveyard is full of "mental stops" that got widened at the moment of truth. For beginners: use hard stops.

3. Trailing stop. Moves in your favour only, never against. Trail by a fixed distance, by ATR (e.g. 2×ATR), or by structure (below each higher-low in an uptrend). It locks in profit while giving the trade room. This is how you turn a +1R winner into a +3R winner.

4. Time stop. "If the trade hasn't worked within X bars/by time T, exit." Essential for **intraday and options** where theta bleeds premium. A Bank Nifty option that's gone nowhere by 13:00 is costing you time-decay every minute — a time stop cuts dead trades before the stop-loss even triggers.

5. Structure-based stops (the pro default). Place the stop where your *thesis is wrong*, from price structure — below the swing low, below the demand zone, beyond the breakout base — **not** at a round rupee amount or a fixed "20 points." Then size to that stop (previous chapter). Structure stops respect the market; arbitrary stops feed it.

6. Avoiding stop-hunting zones. Liquidity clusters just below obvious swing lows and round numbers (Nifty 24,000; Bank Nifty 48,000). Placing your stop *exactly* at the obvious low invites the wick that takes you out before the move resumes. Pros place stops a **buffer beyond** structure (e.g. 0.2–0.3×ATR past the low), accepting slightly more risk to avoid being the liquidity.

7. Scaling out & breakeven. - **Scale out:** book part (say half) at +1R or +1.5R, let the rest run on a trail. Reduces regret and smooths equity, at the cost of some upside. - **Move to breakeven:** once price reaches ~+1R, trail the stop to entry so the trade can't become a loser. Do this *after* it has proven itself — moving to breakeven too early gets you wicked out of good trades.

Worked example — a full exit plan

Bank Nifty futures long. Capital ₹5,00,000, 1R = ₹5,000. Lot size 35 (verify on NSE — lot sizes change).

- Entry: **48,000**, on a breakout above a base.

- Structure stop: last swing low **47,880**, plus a 40-point buffer beyond the obvious level → hard SL at **47,840** (160 points).
- Risk/lot = 160 × 35 = **₹5,600 ≈ 1.1R** → take **1 lot** (2 lots = 2.2R, too big).
- **Time stop:** if not up at least +40 points by 30 minutes, exit — the breakout failed to follow through.

Managing the trade: 1. Price reaches **48,160** (+160 pts = +1R). → **Scale out half** (book ~₹2,800 on part-size logic) and **move stop to breakeven 48,000.** Trade is now risk-free. 2. Price runs to **48,320** (+2R). → Trail stop under the new higher-low, say **48,180**, locking in profit. 3. Price hits **48,480** (+3R) then reverses; trail at 48,300 gets hit. → Exit remainder at **+2.6R.**

Result: blended ~ +1.8R to +2R (≈ +₹9,000–10,000 gross, less ~₹200 charges) instead of the retail outcome — panic-booking the whole thing at +0.4R (₹2,000) or, worse, widening the stop when it dipped and eating −2R. **Same entry, triple the result — purely from exit mechanics.**

How pros do it / common mistakes

Pros: - Define the exit plan (stop, target, trail rule, time stop) *before* entering, in writing. - Use hard stops beyond structure with a buffer, not on the obvious level. - Cut losers at exactly −1R, every time, no negotiation. - Let winners run via trailing/structure stops; scale out to manage emotion, not to cap the trade prematurely. - Use time stops on theta-decaying option longs.

Retail errors & red flags: - **Widening the stop** as price approaches — converts −1R into −3R; the classic account-killer. - **No stop at all** on naked option shorts — one gap = catastrophic loss. - **Booking winners at +0.3R** (fear) while letting losers run (hope) — the exact inverse of an edge. - **Stops on the obvious round number** — donating to the stop-hunt. - Moving to breakeven *instantly*, getting wicked out, then watching the trade run without you. - Ignoring theta: holding a flat option long "hoping" while premium bleeds to zero.

Checklist / drill

Exit checklist (write before entry): - ☐ Hard stop level from *structure* + buffer beyond the obvious low/high. - ☐ Rupee risk at that stop ≤ 1R; size set accordingly. - ☐ First target / scale-out level (≥ +1R) defined. - ☐ Rule to move to breakeven (after ~+1R, not before). - ☐ Trailing rule (ATR or structure) for the runner. - ☐ Time stop for intraday/options ("out by HH:MM if flat").

Drill: For your next 15 trades, log the exit *reason* (hit stop / hit target / trailed out / time stop / discretionary panic). Tally them. If "discretionary panic" appears more than twice, your exits — not your entries — are the leak. Fix that before touching your strategy. *You are paid for how you get out, not how you get in.*

Portfolio Risk: Correlation, Concentration & Exposure

Why this matters — the pro vs retail gap this closes

Retail traders size one trade at a time. They set a neat 1% risk on a Reliance long, a 1% risk on an HDFC Bank long, a 1% risk on a Bank Nifty call — and believe they are risking 3%. They are not. On a bad day for the market those three positions move together, and the "3%" turns into a 6-8% hole in minutes. The single most common way a disciplined, stop-loss-following trader still blows up is not a bad trade — it is a *book* full of the same bet wearing different names.

Professionals think at the book level first and the trade level second. Before they ask "is this a good entry?" they ask "what is my total directional exposure, how correlated is it, and what happens to the whole book if Nifty gaps 2%?" This chapter closes that gap: gross vs net exposure, correlation as hidden concentration, position and sector limits, and hedging the tail. (Rules and STT figures below are as of 13-Jul-2026 — verify on NSE/SEBI/your broker, rules change.)

The essentials — mechanics of book-level risk

Gross vs net exposure. Take capital of Rs 10,00,000. - **Gross exposure** = sum of the *absolute* notional of every position (longs + shorts). It measures how much market you are touching and how much charge/slippage you generate. - **Net exposure** = long notional minus short notional. It measures your directional bet.

Two books can have the same net but wildly different gross. A pure Rs 5L long is net +50%, gross 50%. A Rs 8L long / Rs 3L short book is *also* net +50% but gross 110% — far more sensitive to single-stock shocks and far more expensive to run.

Correlation is hidden concentration. Positions with correlation near +1 are effectively *one* position. In the Indian market the correlations that quietly kill books:

Cluster	Why they move together
Bank Nifty + HDFC Bank + ICICI + SBI + Kotak	The index *is* these names; a long in all is 5x one bet
Nifty long + long index futures + short PE	All bullish delta on the same underlying
Metals: Tata Steel + JSW + Hindalco + Vedanta	Global commodity cycle, USD, China
IT: TCS + Infy + Wipro + HCL	USDINR and US demand
"Rate-sensitives" (banks, autos, realty)	Move on the same RBI/yield news

Concentration limits (a workable retail frame). Cap **single-position risk at 1-2% of capital**, **single-underlying at ~5%**, and **one-sector/one-correlated-cluster net risk at ~6%**. Cap **total net risk-on-a-2%-market-move at ~10%** of capital. These are risk-of-loss caps (stop distance x size), not notional.

Beta-weighting. Convert everything to Nifty-equivalent delta so you see the true bet. A Rs 3L long in a 1.4-beta stock (say a PSU bank) carries the directional punch of Rs 4.2L of Nifty. Kite/most platforms won't compute this — a simple sheet will.

Tail hedge. A cheap far-OTM Nifty/Bank Nifty put (or a put spread) turns an uncapped gap-down into a known cost. You are not trying to profit from it; you are buying a floor on the *book*.

Worked example — an exposure check on a real book

Capital: **Rs 10,00,000.** Lot sizes used (verify on NSE — they change): Nifty 75, Bank Nifty 35, Reliance 500.

Current positions (13-Jul-2026 hypothetical prices): 1. Long 1 lot Nifty futures @ 24,800 → notional 75 x 24,800 = **Rs 18,60,000** 2. Long 1 lot Bank Nifty futures @ 52,000 → 35 x 52,000 = **Rs 18,20,000** 3. Long 1 lot Reliance futures @ 3,000 → 500 x 3,000 = **Rs 15,00,000**

Gross exposure = 18.6 + 18.2 + 15.0 = **Rs 51.8L = 518% of capital. Net exposure** = also +518% (all long). This already screams: five-times-levered and one-directional.

Beta-weight to Nifty. Bank Nifty beta ~1.15, Reliance beta ~1.1: - Nifty leg: 18.6L - Bank Nifty: 18.2 x 1.15 = 20.9L Nifty-equivalent - Reliance: 15.0 x 1.1 = 16.5L - **Total Nifty-equivalent long ≈ Rs 56L.**

Stress test: Nifty −2% day. Beta-weighted loss ≈ 2% x 56L = **Rs 1,12,000 ≈ 11.2% of capital in a single ordinary down day.** A −4% event (which India has seen on budget/global shocks) ≈ **Rs 2,24,000, −22%.** And note: all three are financial/large-cap high-beta — correlation in a selloff runs toward +0.9, so there is *no* diversification cushion. This is one leveraged bullish bet.

The fix. - Cut to what the limit allows. If the cap is 10% book loss on a 2% move, target ~Rs 50L Nifty-equivalent → drop one leg (exit Reliance; it overlaps Nifty anyway). - **Buy a tail hedge:** one lot Bank Nifty 50,000 PE, ~30 days out, say premium Rs 300 x 35 = **Rs 10,500** (0.9-1.1% of capital, verify live). Options STT (from 01-Apr-2026) is ~0.15% on premium on the sell/exercise side — on a Rs 10,500 buy the entry STT is negligible; budget exit costs. This caps a gap-down instead of praying through it. - After the hedge, a −4% day loss shrinks from ~Rs 2.24L toward ~Rs 1.2-1.4L — the put's payoff offsets the crash leg.

How pros do it / common mistakes

- **They read gross AND net every morning.** High gross with low net still bleeds on charges (brokerage + STT + exchange txn + 18% GST + stamp) and single-name gaps.
- **They collapse correlated names into one line.** "I own five private banks" = "I own Bank Nifty, 5x." Pros would rather express that view *as* Bank Nifty and control size.
- **Classic retail errors:** (1) Counting 5 correlated 1% trades as "5% diversified" — it's one 5% bet. (2) Adding a "hedge" that's actually another bullish position (long Nifty + short PE is *more* long, not hedged). (3) Averaging down a losing sector across three stocks — tripling concentration at the worst time. (4) No plan for a gap: stops don't fill at your price when Nifty opens −3%. (5) Ignoring USDINR/global overnight risk on IT and metals books.
- **Red flags:** every position green together on green days and red together on red days (zero internal diversification); margin utilisation >70% leaving no room for MTM swings; "I'll hedge if it drops" (you won't — do it in advance).

Checklist / drill

Run this before the market opens, every day:

1. **List every position** with notional and direction.
2. **Gross** = Σ|notional|. **Net** = Σ signed notional. Both as % of capital.
3. **Beta-weight** everything to Nifty-equivalent delta.
4. **Cluster check:** tag each by sector/factor. Any cluster's net risk > ~6% of capital? Trim.

5. **Single-underlying** net risk > ~5%? Trim.
6. **Stress the book:** loss on Nifty −2% and −4%. Is −2% loss ≤ your book cap (e.g., 10%)?
7. **Tail:** if net long/short exceeds your comfort, is a cheap OTM index put/put-spread on? Note its cost as % of capital.
8. **Margin headroom:** utilisation ≤ ~70% so MTM swings don't trigger a forced square-off.

Drill: take your current book, do steps 1-6 on paper, and find the *one* number — beta-weighted net — you were previously ignoring. That number, not any single entry, is what will actually move your account.

Trading Psychology I: Fear, Greed, FOMO & Tilt

Why this matters — the pro vs retail gap this closes

You can know every Greek, every candlestick, every SEBI rule, and still lose money — because at the moment of the trade, a different operating system takes over. SEBI's own studies have repeatedly shown that the large majority of individual F&O traders lose money (the 2024 study put it around 9 in 10 net losers over three years). Very few of those losers lacked information. They lacked *emotional control* at the click. The edge in a strategy is small and statistical; a single tilt session can erase a month of it.

The pro vs retail gap here is not "pros feel no fear or greed." They feel all of it. The difference is they have *named* the loops, they can *see* themselves entering one in real time, and they have pre-committed circuit-breakers that fire before the account does. This chapter maps the four loops that blow up Indian retail accounts — fear, greed/FOMO, loss aversion, and post-win overconfidence — and how to interrupt each one. (Tax/charge notes are as of 13-Jul-2026; verify with your broker/SEBI, rules change.)

The essentials — the four loops and how they fire

1. Loss aversion (the master bug). Behavioural finance says a loss hurts roughly twice as much as an equal gain feels good. In trading this produces the deadliest pair of habits: **cutting winners early** (to lock the "safe" feeling) and **holding losers** (to avoid crystallising the pain). It is the exact opposite of "cut losses, let winners run." A trader books +Rs 4,000 on a Nifty option because "a bird in hand," then sits through a −Rs 18,000 loss on the next because "it'll come back." The maths of that is negative expectancy by construction.

2. Fear. Two faces. *Fear of loss* → not taking a valid signal, or moving the stop tighter until noise stops you out. *Fear of missing the exit* → panic-selling a good position on the first red candle. Fear makes you trade your P&L, not your plan.

3. Greed & FOMO. The stock is already up 4%, the group is screaming, you enter at the top with an oversized position because "it's flying." FOMO entries are, definitionally, late and un-planned — no level, no stop, no size logic. In Indian markets this peaks around results season, SME IPO frenzies, and expiry-day option lottery tickets ("Bank Nifty 0-DTE, Rs 5 premium, could 10x").

4. Overconfidence after wins. Three green trades in a row and the brain concludes *you* are hot. Size creeps up, rules loosen, and trade #4 is a double-size YOLO with no stop — which gives back all three wins plus interest. Winning streaks are more dangerous to discipline than losing streaks.

Tilt is the composite failure state: an emotional response (usually to a loss or a missed move) that hijacks decision-making. Its most destructive form is **revenge trading** — re-entering immediately, bigger, to "get it back." Tilt has physical tells: faster heartbeat, jaw clench, staring at the ticker, self-talk like "one more trade to break even." Learn *your* tells; they are the alarm.

Worked example — a tilt spiral (real shape)

Capital Rs 5,00,000. Day-trading Bank Nifty options. Daily loss limit (on paper): Rs 10,000 = 2%.

- **9:20** — Buys 2 lots of a Bank Nifty CE, 35 x 2 = 70 qty, planned stop Rs 12,000. Market fades. Stop hits: **−Rs 12,000.** Already through the limit — should be done for the day.

- **9:48** — "That was just a bad fill." Re-enters PE, *3 lots* now (size up = tilt tell #1). Quick chop stops him: **−Rs 15,000.** Running total −27,000.
- **10:30** — Heart racing, jaw tight (physical tells). "I need to make it back before lunch." Buys 5 lots of a cheap OTM expiry CE, no stop (rule abandonment = tilt tell #2). It decays. **−Rs 22,000.** Total **−Rs 49,000 = −9.8% in one morning.**
- Add charges: each round trip stacks brokerage + options STT (~0.15% on premium sell, from 01-Apr-2026) + exchange txn + 18% GST. Five trades of overtrading quietly added several thousand more.

What a −Rs 49,000 day means: at a realistic edge, it can take *weeks* of disciplined trading to earn back — all destroyed in 70 minutes by a loop, not by bad analysis. The first stop at −Rs 12,000 was the *only* correct outcome; everything after was tilt.

How pros do it / common mistakes

- **Pros pre-commit the exit before entry.** Entry, stop, target, and size are decided when calm, written down, and not renegotiated when the position is live and emotions are loud.
- **They use a hard daily loss limit as a physical circuit-breaker** — hit 2% (or 2 consecutive losers), the platform is closed, no exceptions. The rule protects you from the version of you that shows up after a loss.
- **They size so no single trade can trigger tilt.** If a normal loss can't hurt much, the emotional charge stays low. Oversizing *creates* the psychology problem.
- **They separate the trader from the trade.** A loss is a data point, not a verdict on you. Streaks are randomness inside a positive-expectancy process, not evidence you're a genius or a fool.
- **Classic mistakes:** revenge trading; averaging down a loser to "improve the average"; sizing up after wins; trading to "get back to break-even" (the market doesn't know or care about your entry); watching the tick-by-tick P&L in rupees instead of the chart/plan; treating expiry-day lottery options as a strategy.
- **Red flags you're in a loop:** you've stopped looking at levels and are only staring at P&L; you're calculating "how many lots to recover"; you feel you *must* trade right now; you're annoyed/vengeful at "the market."

Checklist / drill

Pre-trade emotional check (10 seconds, every entry): 1. Is this a planned setup with a written stop and size — or a reaction to a move/loss? 2. Am I revenge-trading or chasing (FOMO)? If yes → no trade. 3. Body scan: racing heart, clenched jaw, urgency? If yes → step away 5 minutes. 4. Am I sizing up because of recent wins/losses? Size must match the *plan*, not the mood.

Hard rules (set once, when calm): - Daily loss limit = 2% of capital → hit it, platform closed for the day. - 2 consecutive losers → mandatory 15-minute break away from the screen. - After 3 wins → *no* size increase for the rest of the session. - No entry without a pre-written stop.

Drill (do this week): for the next 20 trades, before each entry, write one word for your emotional state (calm / fear / FOMO / revenge). At week's end, split your P&L by that tag. Almost every trader finds "calm" trades are net positive and "FOMO/revenge" trades are net negative. That single table is proof, in your own money, that the loops — not the market — are the problem.

Trading Psychology II: Process, Routines & Losing Streaks

Why this matters — the pro vs retail gap this closes

Chapter 6 was about interrupting the emotional loops in the heat of a trade. This one builds the *structure* that stops those loops from starting — the daily discipline system a professional runs whether they feel like it or not. Retail traders judge themselves by today's P&L: green day = good, red day = bad. That is exactly backwards, because a positive-expectancy process still produces losing days and losing streaks by pure chance, and a reckless process produces winning days by luck. Judging by outcome trains you to abandon good process after unlucky red days and double down on bad process after lucky green ones.

Professionals judge by *process*: did I follow my rules, take valid setups, size correctly, and honour stops? Do that and the money follows over a large sample. The pro edge here is boring on purpose — routines, a drawdown protocol, and protection of "mental capital." This chapter gives you a usable daily system and a survival plan for the losing streaks that *will* come. (Rule/charge references are as of 13-Jul-2026 — verify with broker/SEBI, rules change.)

The essentials — process over outcome

Four possible days. Any trade or day falls into a 2x2: good process + good outcome, good process + bad outcome, bad process + good outcome, bad process + bad outcome. Only two are under your control — the process column. Reward yourself for **good process regardless of outcome**, and specifically be *unhappy* about a "bad process + good outcome" day (a rule-break that happened to profit) because it's the most dangerous — it reinforces the wrong behaviour.

Mental capital is a real, depletable account. Focus, patience and emotional control drain across a session and across a losing run, faster than money. When mental capital is low, execution quality collapses — you skip stops, chase, oversize. Protecting it (sleep, breaks, exercise, stepping away after losses) is not soft; it's risk management.

Drawdowns are structural, not personal. Even a strong system with 50% win rate and 1.8 reward-to-risk will throw **5-6 consecutive losers** with ordinary regularity over a year. That is arithmetic, not a sign you're broken. The job during a streak is to *survive with capital and confidence intact*, not to fight back.

The de-risking ladder for drawdowns:

Account drawdown from peak	Action
−5%	Review journal; confirm you're still following rules
−8%	Cut position size to half
−10%	Stop trading real money 2-3 days; paper-trade or review only
−15%	Full stop; deep review of whether the market regime changed

Cutting size in a drawdown does the opposite of revenge trading: it shrinks the damage while you find out whether it's variance or a real edge decay.

Worked example — a losing streak handled two ways

Capital Rs 5,00,000. System: ~50% win rate, avg win +Rs 6,000, avg loss −Rs 3,000 (positive expectancy). Normal risk Rs 3,000/trade. A run of **6 losers in a row** arrives — entirely normal for this system.

Trader A (outcome-driven). After loss 3 (−Rs 9,000, −1.8%), concludes "my system is broken / I need to make it back." Doubles size to Rs 6,000/trade to "recover faster." Losers 4, 5, 6 now cost −Rs 6,000 each. Total: 3 x −3,000 + 3 x −6,000 = **−Rs 27,000 (−5.4%)**, plus the tilt from Chapter 6 likely adds an over-trading day. Confidence shattered; probably abandons the system right before it mean-reverts.

Trader B (process-driven). Same 6 losers at planned size = 6 x −Rs 3,000 = **−Rs 18,000 (−3.6%)**. At −Rs 15,000 (−3%) B's ladder triggered a size cut to Rs 1,500, so losses 5-6 were only −Rs 1,500 each → **actual total ≈ −Rs 13,500 (−2.7%).** B journaled, confirmed every entry was a valid setup with an honoured stop, took a day off, and resumed at reduced size. When the system's winners returned (as expectancy says they must), B was still in the game with capital and composure; A had blown up or quit.

Same market, same signals, same "bad luck." The *system around the system* produced a 3x difference in damage and, more importantly, kept one trader alive.

How pros do it / common mistakes

A pro's daily structure (adapt the times; Indian cash/F&O session 9:15-15:30):

- **Pre-market (8:30-9:10):** Check global cues (US close, SGX/GIFT Nifty, Asian markets, crude, USDINR). Note key levels for Nifty/Bank Nifty and your watchlist. Read the calendar (RBI, results, expiry, US data). Write down *if X then Y* plans. Confirm max daily loss and today's size.
- **Opening (9:15-9:30):** Usually *watch*, don't trade the first minutes' noise unless it's your specific setup. The open is where FOMO does most of its damage.
- **In-session:** Take only pre-defined setups. Log each trade as you go. After 2 losers → the mandatory break. Never renegotiate a live stop.
- **Post-market:** Journal every trade (setup, R, screenshot, mistake tag, emotion — next chapter). Grade the *day's process*, not the P&L. One line: what to repeat, what to fix.
- **Weekly:** The formal review (next chapter) — expectancy, KPIs, playbook edits.

Common mistakes: trading every day because you "should" (there are days with no setup — cash is a position); increasing size to recover a drawdown; skipping the journal on losing days (exactly when you need it); no pre-market plan so every tick is an improvised decision; treating a green day from a rule-break as success; grinding through fatigue when mental capital is gone.

Red flags: you can't state today's plan before the open; you trade more after losing; you feel you must be in a position at all times; you've stopped journaling.

Checklist / drill — a daily discipline system

Every trading day: 1. **Pre-market plan written** (levels, catalysts, if-then, max loss, size). No plan → no trade. 2. **State check:** slept, calm, mental capital full? If not, trade smaller or not at all. 3. **Only pre-defined setups.** Improvised entries are logged as errors even if profitable. 4. **Honour every stop; 2 losers → 15-min break; daily loss limit closes the platform.** 5. **Post-market:** journal all trades + grade *process* P/F. P&L is secondary. 6. **Drawdown ladder active:** at −8% cut size half, −10% stop 2-3 days.

Weekly drill: score each of the last 5 days as "good process (Y/N)" independent of P&L. Then correlate: are your green weeks the high-process weeks? Track "process-adherence %" as a KPI. Aim for >90%. When adherence is high and results still lag, the fix is the *strategy* (data-driven, calm) — not more trades. When adherence is low, fix *that* first; no strategy survives a trader who won't follow it.

The Trading Journal & Weekly Review System

Why this matters — the pro vs retail gap this closes

Ask a losing retail trader "what's your expectancy per trade, your win rate by setup, and your worst mistake tag last month?" and you'll get a blank look. Ask a professional and they'll pull up a sheet. That is the whole gap. Without a journal you are not trading a strategy — you are *guessing* that you have one, and your memory is lying to you. Human memory over-weights recent and emotional trades: you remember the one big winner and the one gut-wrenching loss, not the boring middle that actually determines your edge.

A journal converts trading from a feelings-based activity into a measurable, improvable process. It is the single highest-ROI habit an aspiring pro can build, and it costs nothing but discipline. This chapter covers exactly what to log, how to compute your *real* edge (expectancy) from it, the weekly review ritual, the KPIs that matter, and how to iterate your playbook. (References as of 13-Jul-2026 — verify broker/SEBI/tax specifics, rules change.)

The essentials — what to log and what to compute

The unit of measurement is R. R = your initial risk on the trade (entry to stop, in rupees). A trade that risked Rs 3,000 and made Rs 6,000 is **+2R**; one that lost the planned stop is **−1R**. Logging in R (not rupees) makes trades comparable across different sizes and lets you measure the *strategy* independent of position size.

What every journal entry must contain:

Field	Why it matters
Date/time, instrument (e.g., Bank Nifty CE, Reliance)	Context, session, expiry effects
Setup name (your playbook tag)	So you can measure each setup separately
Direction, entry, stop, target	The plan you committed to
Size (lots/qty) and Rs risk (= 1R)	The unit
Exit price, exit reason	Did you follow the plan?
P&L in Rs **and in R**	Comparable performance
Screenshot of the chart at entry	Objective record vs memory
Mistake tag	The improvement engine (see below)
Emotion at entry (calm/FOMO/revenge/fear)	Links Chapter 6 loops to money
Charges paid (brokerage+STT+txn+GST+stamp)	Your real net edge

Mistake tags are a fixed short list you pick from, e.g.: *chased entry, moved stop, oversized, no stop, exited winner early, revenge trade, ignored plan, valid loss (no error).* "Valid loss" is crucial — a loss that followed the rules is **not** a mistake. Tagging separates bad luck from bad behaviour.

Expectancy — your real edge, from your own data:

> Expectancy (in R) = (Win% x Avg Win in R) − (Loss% x Avg Loss in R)

Positive expectancy = you make money over a large sample; negative = you lose no matter how you feel about it. Example: Win% 45%, avg win +2.2R, loss% 55%, avg loss −1R → (0.45 x 2.2) − (0.55 x 1) = 0.99 − 0.55 = **+0.44R per trade.** At Rs 3,000 risk that's **~Rs 1,320 expected per trade before charges** — *and* you must subtract average charges to get true net expectancy. Many retail "systems" are positive gross and negative *net* once STT/GST/brokerage are counted; the journal is the only place you'll catch that.

Worked example — reading one week's journal

30 trades, 1R = Rs 3,000. Raw results: 13 wins, 17 losses. Wins totalled +34R, losses totalled −20R (many losers cut before full −1R; some winners ran to +4R).

- Win% = 13/30 = 43%. Avg win = 34/13 = **+2.6R.** Avg loss = 20/17 = **−1.18R** (over 1R — stops slipped or were moved: a red flag).
- Expectancy = (0.43 x 2.6) − (0.57 x 1.18) = 1.12 − 0.67 = **+0.45R/trade.** Gross ≈ +0.45 x Rs 3,000 x 30 = **+Rs 40,500** for the week.
- **Now the mistake tags:** 6 of the 17 losses tagged "moved stop" or "revenge" — those 6 averaged −1.9R vs −0.7R for the disciplined losses. Had they been cut at −1R like the plan, losses would have totalled ~−15.5R instead of −20R — **+4.5R (~Rs 13,500) left on the table by 6 undisciplined exits alone.**
- **By setup:** the "opening-range breakout" tag was +9R across 8 trades; the "expiry-day OTM lottery" tag was −6R across 5 trades. The data says: do more of the first, *delete the second*.

One week's honest log just told this trader their true edge, quantified their discipline leak in rupees, and identified a setup to cut — none of which "how did the week feel?" could reveal.

How pros do it / common mistakes

- **Pros journal every trade, same day, especially the losers.** The trades you least want to log are the ones with the most to teach.
- **They review weekly, not obsessively daily.** Daily P&L is too noisy; a week (20-30 trades) is a fair sample to read signal from.
- **They let data, not feelings, change the playbook.** A setup is cut only after enough trades show negative expectancy — not after one bad day.
- **They track a small KPI set** (below) and watch trends, not single points.
- **Classic mistakes:** only logging winners (or only losers); journaling in vague prose ("choppy day, felt off") instead of numbers and tags; no screenshot so you argue with your memory later; measuring in rupees so different sizes blur the strategy; never computing expectancy (so you can't tell a real edge from a hot streak); ignoring charges so "profitable" is actually net-negative; changing strategy every week on tiny samples.
- **Red flags:** a growing gap between "gross edge" and "net after charges"; avg loss creeping past 1R (stops not honoured); one mistake tag dominating; you can't answer "which of my setups makes money?"

Checklist / drill — the review system

Log per trade (same day, non-negotiable): setup, direction, entry/stop/target, size, 1R in Rs, exit + reason, P&L in Rs and R, screenshot, mistake tag, emotion, charges.

Weekly review (fixed 45-min slot): 1. Compute **Win%, Avg win (R), Avg loss (R), Expectancy (R), net after charges.** 2. **Break expectancy down by setup** — keep/scale winners, cut losers. 3. **Tally mistake tags** — what's the #1 leak in R this week? Write the one rule to fix it. 4. Check **avg loss vs 1R** (stop discipline) and **process-adherence %** (from Ch. 7). 5. **Emotion split:** P&L of calm vs FOMO/revenge trades — confirm the loops cost you. 6. Update the **playbook:** one concrete change, then hold it for a meaningful sample.

KPIs to track over time (a simple sheet or Excel; export fills from Kite): Expectancy (R), Win%, Avg win/Avg loss ratio, Max drawdown, Process-adherence %, Net-after-charges edge, Best/worst setup.

Drill: log your next 20 trades in full, then compute expectancy and expectancy-by-setup. You will end up with two lists — setups that make money and setups that don't — in your own rupees. Trade more of the first list, delete the second. That single evidence-based edit, repeated monthly, *is* how a retail trader becomes a professional.